

## **PROMOTIONAL SUNSET PLAN**

### **OVERVIEW**

The brand has grown to around 3,900 customers, but a significant portion only purchases when discounts are offered. This means retention figures may reflect dependence on promotions rather than true brand loyalty.

To address this, the brand should replace flat discounts with a store credit system and introduce a Premium Membership tier for its most valuable customers. This keeps rewards attractive while shifting the focus from price cuts to deeper customer engagement, helping build stronger loyalty and more sustainable growth.

### **STORE CREDIT SYSTEM**

The brand's current promotional structure operates as a binary: a customer either receives a flat cash discount or they do not. It trains discount-receiving customers to wait for a price reduction before purchasing, eroding margin without building any durable engagement. The proposed replacement is a store credit system that applies to the general customer base.

#### **Deriving the Credit Rate**

The initial approach to calibrating the credit value was data-driven: comparing the average purchase amount of Loyal: Brand Purists (\$60.73) against Loyal: Promo Dependent customers (\$59.83) to derive the effective monetary value of the discount being given away. The resulting spend gap of \$0.89 produced an effective discount rate of 1.47% of purchase value, which, at 50% for Premium members, yielded a per-transaction credit of approximately \$0.44.

However, this number is not a viable incentive. At \$0.44 per \$60 transaction, a customer would need over 135 purchases to accumulate enough credit for a single meaningful redemption. The spend gap proxy is analytically valid as a floor; it confirms the discount is not a large monetary benefit, but it is too small to anchor a credit system designed to change purchase behaviour. The dataset records only whether a discount was applied, not its actual monetary value. It establishes a lower bound but not a target rate.

#### **The Adopted Rate**

The credit rate is instead set by reference to market benchmarks for D2C fashion loyalty programs, where standard earn rates range from 3% to 5% of purchase value. A rate of 3% is adopted for the general customer base, meaningfully above the 1.47% analytical floor confirmed by the data.

The general customer base earns at **3% of purchase value** per transaction, sitting at the conservative end of the market range, consistent with the brand's early-stage loyalty program positioning, and meaningfully above the 1.47% analytical floor confirmed by the data. On a typical \$60 transaction, a general base customer accumulates \$1.80 in credit per purchase, compounding to approximately **\$83 in annual credit value** at the segment's average purchase frequency of 46 to 48 transactions per year.

Premium members earn at **2% of purchase value** per transaction. This is a deliberate structural choice. Premium members receive a suite of non-monetary benefits that carry high perceived value at low marginal cost to the brand. The reduced monetary earn rate reflects that the overall value proposition of Premium Membership is broader than credits alone. On a typical \$60 transaction, a Premium member accumulates \$1.20 in credit per purchase, compounding to approximately **\$55 in annual credit value** at the same average purchase frequency. The \$28 annual gap relative to the general base is the cost the brand asks Premium members to absorb in exchange for early access, personalised recommendations, and the elevated membership experience.

### **Credit Expiry**

Credits expire 28 days from the date of issue. This window is derived from Promo Dependent customers, the primary sunset target, whose median purchase interval is 14 days (median rate of 26 purchases per year). Setting expiry at 28 days gives every customer exactly two complete natural purchase cycles to redeem. This is long enough that no engaged customer loses credits through inattention, and short enough that credits cannot be hoarded across months, which would remove the urgency that makes the system behaviorally effective.

A customer who stops buying stops accumulating. A customer who keeps buying keeps earning and redeeming within their natural rhythm.

### **PRIME MEMBERSHIP SYSTEM**

Rather than being another discount scheme, it is designed to strengthen the relationship between the brand and its most loyal customers. The idea is simple: customers should feel valued for their ongoing engagement with the brand, not just for responding to promotions. By recognising and rewarding loyalty in a more meaningful way, the program encourages deeper connections, stronger retention, and long-term customer value. It conveys the idea of a premium category in which loyalty is rewarded. This helps the transition of the Loyal: Promo Dependent group to reduce its discount usage, as the credit value decreases to account for non-monetary benefits

## **Target customers**

Loyal Brand Purists (1,073 customers, representing 28.4% of the customer base) are included as a recognition of their existing loyalty. These customers regularly purchase at full price and have shown no reliance on discounts. Their relationship with the brand is already strong, and Premium Membership serves as a way to acknowledge that loyalty while creating more opportunities to engage with them.

Loyal Promo-Dependent Customers (831 customers, representing 22.0% of the customer base) are included as part of a gradual transition away from discount-driven purchasing. Analysis shows that their purchasing behaviour is similar to Brand Purists, with the key difference being their dependence on promotions (0.000 vs 0.438 ). Instead of receiving flat discounts, they are moved into the Premium Membership program, where a smaller store-credit reward is complemented by exclusive non-monetary benefits. The intention is for customers to view the change as an enhanced membership experience rather than the removal of a discount.

## **The Benefit Architecture**

Premium members earn store credits at 2% of purchase value per transaction. The remaining value proposition is delivered through three non-monetary benefit pillars, each chosen because it carries high perceived value at low marginal cost to the brand and reinforces continued engagement rather than price sensitivity.

- **Early Access:** Members gain early access to new arrivals or restocked items two days before general release.
- **Finish your outfit dashboard/ Smart suggestions:** A panel consisting of products paired with a particular item in the customer's cart. The brand's item-level data shows that its highest-value customers concentrate purchases across Jewellery, Blouses, Scarves, Gloves, and Dresses.
- **Personalised notes:** Premium members have the option to include a personalised, handwritten-style note with their orders.

Premium Membership is not a paid subscription. Customers earn membership through their purchase history, consistency, and engagement with the brand. It is awarded as a recognition of loyalty, not sold as a product. It is not permanent by default. Membership should be reviewed at defined intervals (annually) against the qualifying criteria. Customers who fall below the behavioural thresholds over time transition back to the general credit program.

## PROMOTIONAL SUNSET PLAN

The segment recommended for a phased discount sunset is Loyal: Promo Dependent (especially the Mid and High CLV tiers), comprising 662 customers or 17.5% of the total customer base. This group currently receives discounts on every purchase and carries a promotional dependency score of 0.438. However, when discount behaviour is set aside, this segment is analytically indistinguishable from Loyal: Brand Purists

| Metric                      | Loyal: Brand Purist | Loyal: Promo Dependent |
|-----------------------------|---------------------|------------------------|
| Customers                   | 1,073               | 831                    |
| Avg Purchase Amount         | \$60.73             | \$59.83                |
| Avg Previous Purchases      | 33.71               | 34.53                  |
| Median Previous Purchases   | 37.0                | 37.0                   |
| Avg Yearly Transactions     | 48.0                | 46.2                   |
| Dominant Purchase Frequency | Bi-Weekly           | Bi-Weekly              |
| Avg Consistency Score       | 0.562               | 0.562                  |
| Avg CLV Score               | 0.554               | 0.552                  |
| Avg Review Rating           | 3.756               | 3.729                  |
| Dominant Satisfaction Tier  | Neutral             | Neutral                |
| Median Tenure (weeks)       | 30.0                | 35.0                   |

Discount removal does not happen in isolation. Loyal: Promo Dependent customers are simultaneously enrolled into a Premium Membership tier alongside Loyal: Brand Purists. Brand Purists enter Premium as recognition of existing behaviour.

## **Why not Casual: Bargain Hunters?**

Bargain Hunters carry a dependency score of 0.802 and a loyalty score of 0.210. The discount is not a habit for this group; it is the relationship. Removing it would not convert them into full-price buyers; it would cause them to churn entirely, recovering no margin and reducing volume simultaneously.

## **TRIGGER BEHAVIOUR**

A customer is eligible for Premium enrollment when all three of the following conditions are met simultaneously: their previous purchase count is 25 or above, placing them in the established repeat-buyer tier consistent with the loyalty analysis in Q1b; their consistency score is at or above the segment median, confirming sustained purchase rhythm rather than sporadic engagement; and they are classified as Loyal: Promo Dependent in the customer segmentation model. Of the 831 customers in this segment, **662** meet all three criteria across the High and Mid CLV tiers and represent the active rollout population.

## **Rollout Timeline**

The transition away from flat discounts will be implemented in three phases, allowing customer behaviour to be monitored at each stage before expanding the program.

### **Phase 1: Pilot Group (Months 1 - 2)**

**Target Segment:** High CLV Promo-Dependent Customers

- Enroll the highest-value promo-dependent customers into Premium Membership.
- Replace their existing discount with Premium Membership benefits.
- Monitor repurchase behaviour for 60 days following the transition.
- Use results to assess customer response and retention impact.

### **Why this group first?**

- Smallest sunset cohort
  - Highest loyalty scores
  - Lowest expected churn risk
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## Phase 2: Performance Review (Months 3 - 4)

**Objective:** Evaluate Phase 1 outcomes before broader rollout.

### Decision Criteria

| Outcome                                                           | Action                                               |
|-------------------------------------------------------------------|------------------------------------------------------|
| Repurchase rate meets or exceeds the Brand Purist benchmark       | Proceed to Phase 3                                   |
| Repurchase rate is more than 15% below the Brand Purist benchmark | Pause rollout and review Premium Membership benefits |

If performance falls below the threshold, the brand should investigate the drivers of the gap and refine the program before extending it to additional customers.

## Phase 3: Expansion (Months 5 - 6)

**Target Segment:** Mid CLV Promo-Dependent Customers

- Extend Premium Membership to the mid-value promo-dependent segment.
- Continue monitoring retention and repurchase behavior.

### Low CLV Promo-Dependent Customers

This group remains on the current discount program until sufficient Phase 3 data is available. A decision on extending the sunset strategy to this segment will be made based on observed results.

## MARGIN IMPACT

### Initial approach

The initial approach to quantifying margin recovery compared average spend between Loyal: Brand Purists (\$60.73) and Loyal: Promo Dependent customers (\$59.83), using the \$0.89 gap as a proxy for the effective per-transaction discount rate of 1.47%.

The spend gap is analytically valid as a floor. It confirms the discount is not a large absolute monetary benefit and that the behavioral attachment Promo Dependent customers have to it is more psychological than financial. However it understates the true discount cost significantly. The dataset records only whether a discount was applied, not its monetary value. The \$0.89 gap captures the net residual difference in what customers pay after the discount, not the discount rate itself. If the actual

discount being offered is anywhere within the standard 10-22% fashion retail range, the true margin surrendered per transaction is \$6 to \$13, not \$0.89.

### **Adopted approach**

Because the dataset does not include discount values, the exact margin impact cannot be measured directly. Instead, industry-standard fashion ecommerce discount rates were applied to the annual revenue generated by the sunset cohort to estimate a range of outcomes under different discount and churn scenarios.

### **H&M as the Reference Program**

H&M's loyalty program is adopted as the primary external reference for two reasons. First, it is one of the most comparable publicly documented fashion loyalty programs available; a mid-market, high-frequency, apparel-focused brand operating at scale. Second, H&M has publicly documented its transition from flat promotional discounts to a points-based credit system, making it directly relevant to the strategic move being proposed here.

### **H&M Program Structure (documented):**

1. Earn rate: 1 point per \$1 spent. 200 points convert to a \$5 coupon; an effective earn rate of **2.5% of purchase value**
2. Coupon expiry: **90 days** from issue
3. Points validity: 12 months from membership start date
4. Source:
  - <https://thepointsguy.com/news/hm-has-a-new-loyalty-program>
  - [https://www2.hm.com/en\\_us/member/info.html?utm\\_source=rakuten&utm\\_medium=affiliate&utm\\_campaign=3277689\\_BrandCycle\\_mi\\_usA19ACU3AA204&utm\\_content=10&utm\\_term=US\\_Network&ranMID=43148&ranEAID=IZeqSRYHO5E&ranSiteID=IZeqSRYHO5E-Fh0WGcpFdsyosgTH8d10VA](https://www2.hm.com/en_us/member/info.html?utm_source=rakuten&utm_medium=affiliate&utm_campaign=3277689_BrandCycle_mi_usA19ACU3AA204&utm_content=10&utm_term=US_Network&ranMID=43148&ranEAID=IZeqSRYHO5E&ranSiteID=IZeqSRYHO5E-Fh0WGcpFdsyosgTH8d10VA)

### **Discount Rate Assumptions**

Fashion retailers commonly offer discounts between 20% and 25% of purchase value. Top apparel brands maintained discount rates in the 5-9% range for most of 2024, while the broader fashion sector averaged 20-25% on promotional transactions.

- Source: <https://www.opensend.com/post/average-discount-rate-statistics-ecommerce>
- Source: <https://www.triplewhale.com/blog/discount-strategy-beauty-apparel>

**Total Annual Revenue at Stake:**

| CLV Tier     | Customers  | Avg Spend | Avg Yearly Transactions | Annual Revenue     |
|--------------|------------|-----------|-------------------------|--------------------|
| High         | 536        | \$69.61   | 57.05                   | \$2,128,417        |
| Mid          | 287        | \$42.57   | 26.46                   | \$323,262          |
| <b>Total</b> | <b>823</b> |           |                         | <b>\$2,451,679</b> |

This table uses the full segment population (823 customers) for revenue calculation. The 662-customer trigger-qualified cohort is used for rollout planning. The revenue base is intentionally broader to capture the full financial exposure of the transition.

**New Credit System Cost:**

Under Premium Membership, credits are earned at 2% of purchase value. Applied to the full \$2,451,679 revenue base, the annual credit liability is **\$49,033**, assuming 100% redemption.

**Churn Rate Assumptions**

Churn assumptions are benchmarked to published sources and moderated downward from general ecommerce averages based on the behavioral profile of the sunset cohort.

|                                       | Best Case   | Average Case | Worst Case  |
|---------------------------------------|-------------|--------------|-------------|
| Discount Rate Assumed                 | 25%         | 20%          | 10%         |
| Annual Revenue Base                   | \$2,451,679 | \$2,451,679  | \$2,451,679 |
| Old Discount Cost                     | \$612,920   | \$490,336    | \$245,168   |
| New Credit Cost (2%, 100% redemption) | \$49,033    | \$49,033     | \$49,033    |
| Gross Margin Recovery                 | \$563,887   | \$441,303    | \$196,135   |



|                     |           |           |            |
|---------------------|-----------|-----------|------------|
| Churn Rate          | 5%        | 10%       | 15%        |
| Churn Revenue Loss  | \$106,421 | \$212,842 | \$367,752  |
| Net Margin Recovery | \$457,466 | \$228,461 | -\$171,617 |

### Key Takeaways

- The data-derived floor confirms a minimum recovery of **\$16,005 - \$21,339** annually, conservative by construction
- The realistic operating range under average case assumptions yields a net recovery of **\$228,461**, rising to **\$457,466** in the best case
- The worst case produces a net loss of **\$171,617**, bounded entirely to the Phase 1 High CLV cohort if the Phase 2 checkpoint triggers a pause
- The maximum bounded downside in a Phase 1-only scenario is **\$106,421** in churn revenue loss, recoverable within a single quarter under average case performance
- The trade-off accepted: short-term revenue risk in exchange for eliminating structural discount dependency among customers who purchase every **6.4 - 7.9 days** across **34 - 35 previous purchases**.

### TRADE-OFFS

#### 1. The Promotional Sunset

**What the brand gains:** elimination of structural discount dependency among 662 high-consistency customers, margin recovery of \$228,461 annually under average case assumptions, and a customer base that purchases on brand merit rather than price triggers.

**What the brand risks:** short-term revenue disruption if Promo Dependent customers respond to discount removal by reducing purchase frequency, even temporarily. The worst case loss of \$171,617 is real, not theoretical.

**The mitigant:** the phased rollout caps exposure. If Phase 1 underperforms the 15% benchmark threshold, the plan stops before Mid CLV is touched.

## 2. Premium Membership Structure

**What the brand gains:** a non-monetary retention mechanism that rewards loyalty without conditioning customers to expect price reductions. Brand Purists are recognised without being discounted. Promo Dependent customers receive a replacement offer that preserves the relationship.

**What the brand risks:** if Premium membership benefits are not perceived as sufficiently valuable by Promo Dependent customers, the membership fails as a discount substitute and churn accelerates beyond the 15% worst case assumption.

**The mitigant:** the earn rate of 2% still provides tangible monetary value (\$1.20 per \$60 transaction), ensuring the membership is never purely experiential.

## **IDEAL CUSTOMER PROFILE (ICP)**

The ideal customer is a high CLV, behaviorally consistent, full-price buyer. The total number of customers in the dataset who meet all three criteria is 701, i.e., roughly 1 in 5 customers qualifies as an ideal customer, regardless of gender. They have a median age of 45, with no strong skew toward any particular age group. However, age is a weak signal as it doesn't really predict ICP status.

What matters more is how they shop. Every customer in this segment is a non-subscriber, but this is a dataset artifact. Every subscriber in the data has used a discount, which structurally excludes them from a full-price segment. It doesn't show that non-subscribers are inherently more loyal.

The ideal customer is a highly engaged, frequent shopper - 41% Bi-Weekly and 24% Weekly buyers, have an average of 34 purchases and average spend per order is \$70, clearly above the overall customer base average. They sit with a high CLV (0.625) and loyalty score (0.773), and their dependency score of 0 means that they buy consistently at full price without needing discounts.

Clothing (44%) and Accessories (33%) make up the bulk of purchases, followed by Footwear (14%) and Outerwear (8%). Their top individual items are Blouse, Jewelry, Scarf, Sunglasses, Jacket, Shorts, i.e., accessories and everyday staples rather than seasonal or trend-driven pieces. Sizes preferred are M (44%) and L (26%), together covering over 70% of the segment.

Arizona, Alaska, and Tennessee show above average ICP concentration, along with high organic demand (54.17, 51.74, and 49.43 respectively) and high ICP density, making them the strongest targets for acquisition. The Organic Demand Proxy looks at spend and promo reliance together, so a high score means that customers over there are spending well and doing it at full price, without needing a discount to get them over the line.